

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Individual investors** who had built substantial positions in U.S. stocks are looking elsewhere for returns as they consider the implications of tariff wars and shifts in American foreign policy. **A1**
- ◆ **CEO pay at the biggest** U.S. companies continued to climb in 2024 and is on track to set a record, though no new entrant to the \$100 million club has been identified. **B1**
- ◆ **Artificial food dyes** approved as safe by the FDA are facing closer scrutiny over their effects on humans at the instigation of Health and Human Services Secretary Robert F. Kennedy Jr. and consumer advocates. **B1**
- ◆ **"Snow White,"** the live-action remake of Disney's classic film that traveled a rough road to its release, grossed a less-than-expected \$43 million domestically over its opening weekend. **B1**
- ◆ **Luxury brands** are among the biggest automotive losers so far in Trump's trade war, including those BMW 3 series vehicles that are made in Mexico. **B1**
- ◆ **The Trump** administration's tariffs, job cuts and campaign for lower energy prices are creating a more-uncertain world for its friends in the oil industry. **B3**
- ◆ **Politically attuned** companies developing climate-friendly products are de-emphasizing green virtue and touting their products' national-security and AI credentials. **B3**
- ◆ **Small businesses** lacking large cash cushions or negotiating leverage are running out of options to offset the hit to their costs imposed by Trump's tariff offensive. **B3**

World-Wide

- ◆ **The White House** is narrowing its approach to tariffs set to take effect on April 2, likely omitting a set of industry-specific tariffs while applying reciprocal levies on a targeted set of nations that account for the bulk of foreign trade with the U.S. **A1, B1, B3**
- ◆ **Canadian Prime Minister** Mark Carney called a snap election for April 28 in which will loom large the question of how Canada will deal with Trump. **A1**
- ◆ **Israel plans a major** ground offensive in Gaza, testing Netanyahu and his top aides' belief that capturing and holding swaths of territory will allow them to defeat Hamas. **A1**
- ◆ **Trump's chief negotiator** echoed some Kremlin talking points on the Ukraine war and advocated for future U.S.-Russian relations based on shared business interests. **A7**
- ◆ **A frail-looking Pope** Francis was discharged from the hospital after largely recovering from a life-threatening respiratory infection. **A8**
- ◆ **The U.S. and China** stepped up diplomatic efforts as a senator visiting Beijing said he was preparing for a summit between Trump and Xi. **A18**
- ◆ **China's armed forces** are more ready than ever to surround Taiwan, cut it off from the rest of the world and try to squeeze it into submission. **A18**
- ◆ **The IRS and immigration** officials neared an accord under which the tax agency and border security would share some taxpayer data. **A3**
- ◆ **Died: George Foreman**, 76, two-time boxing champion. **A14**
- ◆ **Kitty Dukakis**, 88, crusader against drug abuse. **A2**

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Jailing of Erdogan Rival Spurs Protests in Turkey



VIOLENT CLASH: Police used pepper spray Sunday in Istanbul as demonstrators protested the imprisonment of Mayor Ekrem Imamoglu, a top rival of President Recep Tayyip Erdogan, on corruption charges, just ahead of a possible snap election. **A7**

Longtime Fans of U.S. Stocks Are Parking Money Elsewhere

Global investors hedge their bets on trade war, shifts in Washington policy

By OWEN TUCKER-SMITH

Keith Moffat was born in Canada, lives in the Netherlands and has an Irish passport. But until recently, his stock portfolio was (almost) all-American.

At one point, around 90% of Moffat's investments were in U.S. stocks. He sold all of his American holdings in the past few weeks and piled into exchange-traded funds that hold

shares of European and other international companies, alongside European defense stocks. Moffat said the U.S. market is overpriced. But President Trump's rhetoric referring to Canada as the 51st state also has stung.

"It was the dagger in the heart," he said. "There are a lot of Europeans with money who are upset over what's happening in the U.S. Why would we put our money there?"

Just two months after JPMorgan Chase declared American exceptionalism "the broad and dominant" investing theme of 2025, ordinary investors across the world are look-

ing elsewhere. Instead of riding the wave of U.S. outperformance, they are parsing the potential implications of tariff wars and major shifts in U.S. foreign policy. And for much of this volatile stretch, markets in China and Europe outpaced expectations.

The case for European stocks got a jolt Friday when the German government approved a plan to inject up to €1 trillion, equivalent to \$1.09 trillion, into the nation's economy, with much of the funds supporting the country's defense efforts. Germany's DAX index has shot up almost 15% this year, and some investors hope that heavy spending will

pull the country out of its slump. Countries across Europe are ramping up domestic military spending as the U.S. signals an increasingly isolationist foreign-policy position. As a result, shares of the region's defense companies are booming.

Lia Holmgren, a Miami-based trader from Slovakia who co-founded Trading Mindset & Data and coaches novice investors on social media, said that Europe was "pretty much sleeping" for years. But the DAX and European banks have

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◆ **Data-hungry investors dig for economic clues.....** B9

White House Narrows April 2 Tariffs

Industry-specific levies on cars and microchips are no longer expected

WASHINGTON—The White House is narrowing its approach to tariffs set to take effect on April 2, likely omitting a set of industry-specific tariffs while applying reciprocal levies on a targeted set of nations that account for the bulk of foreign trade with the U.S.

By Josh Dawsey, Gavin Bade and Meredith McGraw

President Trump has declared April 2 "Liberation Day" for the U.S., when he will put in place reciprocal tariffs that seek to equalize U.S. tariffs with the duties charged by trading partners, as well as tariffs on sectors like automobiles, pharmaceuticals and semiconductors he repeatedly said would be enacted that day.

Those sector-specific tariffs, however, are now unlikely on April 2, said an administration official, who said the White House still plans to unveil the reciprocal tariff action that day, though planning remains fluid. The shift was reported earlier by Bloomberg.

The fate of the sectoral tariffs, as well as tariffs on Canada and Mexico that Trump said were justified by fentanyl trafficking, remains uncertain. The White House didn't respond to requests for comment on if or when any of the tariffs are planned to go into effect.

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◆ **The Outlook: China weighs export cut.....** A2

◆ **Luxury cars see biggest toll from tariffs.....** B1

◆ **Small businesses run out of moves.....** B3

Canada's Carney Calls Snap Election in April

Canada's prime minister, Mark Carney, on Sunday called a snap election, sending Canadians to the polls for a vote on April 28 that is set to revolve largely around the question of how the nation will deal with President Trump.

By Vipal Monga in Toronto and Paul Vieira in Ottawa

Carney, a 60-year-old former central banker, called the election less than two weeks after he was sworn in to succeed Justin Trudeau. Carney begins a race against the Conservative Party of Canada, led by Pierre Poilievre, with some polls showing the Liberals leading public opinion for the

first time in years.

The governing Liberals seemed headed for an electoral drubbing only weeks ago but are now in a position to possibly win the election because of voters' concerns about the harm Trump could do to the Canadian economy with his threats to levy punitive tariffs on one of the U.S.'s largest trading partners. Trump has proposed using economic force to annex Canada, a threat that has animated a patriotic backlash and galvanized public opinion against the U.S.

"We are facing the most significant crisis of our lifetimes because of President Trump's unjustified trade actions and his threats to our sovereignty,"

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King Charles Takes On A Diplomatic Headache—Quietly

British monarch hints at support for Canada with maple tree planting, Michael Bubl 

By MAX COLCHESTER AND PAUL VIEIRA

The King of Canada wants President Trump to back off. Just don't expect him to actually say that publicly.

Britain's King Charles III, who is also Canada's head of state, is wrestling with an unprecedented diplomatic headache. The monarch wants to stand up for the largest country in his realm as Trump talks about turning it into the 51st U.S. state. At the same time he has to honor the British government's desire that he keep

Trump, who deeply admires the royal family, sweet. The result has been a master class in passive-aggressive pageantry from Buckingham Palace.

Earlier this month, King Charles's daughter-in-law Princess Catherine appeared at church wearing a red outfit with white pearls, which, of course, represent the colors of the Canadian flag. During that service Charles sat on a chair made of Canadian birch with maple leaves engraved on its legs. The king then released an Apple music playlist that in-

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INSIDE



BUSINESS & FINANCE

It was no fairy-tale debut for Disney's 'Snow White' at the weekend box office. **B1**

SPORTS

Cinderella wasn't invited to the big dance at this year's NCAA Tournament. **A14**

Netanyahu, Top Aides Believe Israel Must Beat Hamas on the Battlefield

By DOV LIEBER AND ANAT PELED

TEL AVIV—Israeli Prime Minister Benjamin Netanyahu and his new national-security team are planning a major ground offensive in Gaza in the belief that capturing and holding swaths of territory will allow them to finally defeat Palestinian Islamist militant group Hamas, according to people familiar with the government's thinking.

On Sunday, Israel sent infantry into the northern part of the Gaza Strip and areas around Rafah in the south. Israel has also deployed troops in the so-called Netzarim cor-

ridor, which bisects the Palestinian enclave, returning to areas it had withdrawn from as part of a cease-fire deal. Israel also has targeted a series of Hamas's Gaza-based political leaders in recent days. The Defense Ministry said it killed Hamas's prime minister, Ismail Barhoum, on Sunday, just days after he took up the post following Israel's killing of his predecessor. Hamas said Sunday that Salah al-Bardawil, a member of its political bureau, had been killed in an airstrike.

The moves represent the start of a new battle plan. Netanyahu and a hawkish group of top aides appointed in re-

cent months argue that Hamas must be beaten on the battlefield before any political solution for Gaza can be advanced.

Previously, defense officials had taken the view that Hamas could be degraded militarily, but that it would be necessary to establish a new governing authority in Gaza to really end Hamas's influence.

Netanyahu and his new team, including Defense Minister Israel Katz and top general Eyal Zamir, believe that last year's military defeat of Hezbollah in Lebanon and the Trump administration's willingness to back a renewed offensive against Hamas give

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